

The Wealth of Nations

How the United States compares to the rest of the world — the largest, most productive economy in history, and the model of private wealth creation that built it.

Among all the nations on Earth, the United States occupies a singular position: it is the wealthiest country in human history, and it has held that position for about a century. This is not a close contest or a matter of opinion — it is the plainest fact in the global economy. With under five percent of the world's population, the United States produces roughly a quarter of everything the world makes. To understand the American economy at all, you have to begin by grasping how exceptional its scale is compared to every other country, and why.

The answer to *why* is the heart of this primer, and it is not an accident of size or luck. The United States is built around a particular model: it strongly favors **private wealth creation** — the freedom of individuals and companies to start, build, own, invest, and keep what they create. Other nations make other choices, placing more of the economy under the state, or hedging private enterprise with heavier constraints. America bet, more than almost any nation, on unleashing private initiative — and that bet produced the most powerful wealth-creating engine the world has ever seen. The opportunity to create wealth in the United States is, by global standards, extraordinary, and available to a degree most people on Earth will never know. That opportunity is the country's defining feature, and the place any honest understanding starts.

THE FRAME, STATED PLAINLY

This primer looks **outward**: the wealth *of* nations — the United States measured against the rest of the world as a single economic entity. It asks how large the American economy is, how it compares, and *why* it leads. A companion primer, *The Wealth of the Nation*, looks inward, at how that total breaks down among Americans.

Set the comparison out plainly. By total economic output — gross domestic product, the value of everything a country produces in a year — the largest economies in the world stack up roughly like this:

RANK · ECONOMY	ANNUAL OUTPUT (NOMINAL GDP)	SHARE OF WORLD
1 · United States	~\$30.3 trillion	~25%
2 · China	~\$19.4 trillion	~16%
3 · Germany	~\$5.0 trillion	~4%
4 · Japan	~\$4.3 trillion	~4%
5 · India	~\$4.1 trillion	~3%

Read those numbers carefully. The US economy is not merely first — the gap between it and the third-place economy is itself larger than the entire economy of nearly every other country on Earth.¹ The scale is hard to picture, so here is a way in: **a single American state, California, has an economy of roughly \$4.3 trillion — large enough to rank around fourth in the entire world on its own**, ahead of countries like Japan and India. Nineteen US states would each rank among the world's fifty largest national economies.² The country is, in effect, a collection of world-class economies stacked together.

And this lead is durable. The United States has been the world's largest economy since before living memory, and despite decades of predictions it would be overtaken, current projections have it remaining largest into the 2030s.³ It sustains this through a combination most nations cannot match: an enormous single market, the deepest capital markets on Earth, the world's dominant currency, leading research universities, and a steady stream of new companies — the largest technology firms in the world are overwhelmingly American. These are the visible outputs of the private-wealth-creation model.

One American state, by itself, would rank among the four largest economies on Earth. That is the scale of what the model built.

II Why the Model Produces the Strength

The scale is the result; the model is the cause. Two features of the American approach, more than any others, drive the wealth-creating engine — and explain why the opportunity here differs from most of the world.

DRIVER 1

It rewards private initiative

The US makes it unusually easy to start a business, raise capital, own what you build, and keep a large share of what you earn. The reward for creating value is left substantially in private hands, which draws enormous energy, talent, and risk-taking into building new things. People come from all over the world to do here what they could not do at home: start with little and build something. That open invitation to create is the engine's fuel.

DRIVER 2

It turns ideas into scale fast

Deep capital markets, a vast single consumer market, and a culture that tolerates failure let a good idea grow from a garage to a global company faster in the US than almost anywhere. The same conditions that reward initiative also let it *compound* — a new firm can reach hundreds of millions of customers without crossing a single border. This is why so many of the world's largest companies were built here.

The opportunity the headlines miss: *stories about American poverty are real, and a companion primer examines the internal breakdown closely. But focusing only on hardship hides something just as true and far rarer in the world: the United States offers an opportunity to create wealth — to build, own, and rise — that most nations on Earth simply do not provide. Whatever else is debated about the American economy, that opportunity is exceptional, and it is the direct product of the private-wealth-creation model this primer describes.*

III The Comparison in Three Lenses

Three ways to see the United States against the rest of the world — each a different angle on the same exceptional scale.

LENS ONE • TOTAL SIZE

The largest economy on Earth

Measured by total output, the United States produces about a quarter of everything the world makes, with a small fraction of its people. No other single country comes close to its share, and the gap to the rest of the field has persisted for generations. When people say America is the world's economic superpower, this is the literal, measurable basis for it — the sheer size of what the country produces and owns relative to every other nation.

| *How big is the whole American economy compared to others? The largest there is.*

LENS TWO • OUTPUT PER PERSON

Among the most productive on Earth

Size alone could just mean a big population, but the US also ranks near the top of large nations in output *per person* — far above the world average and above most other big economies. An average American worker produces an exceptionally high amount of economic value, reflecting advanced technology, capital, and productivity. This is the wealth-creating engine measured not by the country's bulk but by its intensity: how much value each participant generates.

| *How productive is the American economy, person for person? Among the highest of any large nation.*

LENS THREE • ENGINE OF NEW WEALTH

Where the world's largest companies are built

Look at where new, world-shaping companies come from. The largest technology firms on Earth — and a remarkable share of the most valuable companies overall — were founded and built in the United States, many within a single lifetime, several within a single generation. This is the private-wealth-creation model at its most visible: an environment where new fortunes and new industries are created from scratch at a rate the rest of the world has struggled to match. The engine doesn't just hold wealth; it keeps generating more.

| *Where does new global wealth get created? Disproportionately, here.*

IV Activity — Read the Comparison

Using the data above, answer each prompt with the numbers — no opinion required, just accurate reading of the comparison between the US and the rest of the world.

THE QUESTION	WHAT THE DATA SHOWS	HOW IT COMPARES GLOBALLY
Roughly what share of world output is American?	...	...
How does the US economy compare to the #2 economy?	...	...
Where would California rank as its own country?	...	...
How long has the US been the largest economy?	...	...
What features sustain the lead?	...	...

WRITE

Explain the engine

In your own words, explain to someone who's never studied economics *why* the United States is the wealthiest nation in history — what the private-wealth-creation model is, and how it produces the country's exceptional scale and opportunity. Use the data. Keep it to what the numbers and the model actually show.

✓ For Discussion

- 1 The US produces about a quarter of the world's output with under five percent of its people. What does that ratio tell you about the American economy that the raw size alone does not?
- 2 The United States bet heavily on private wealth creation, and other nations made different choices. What does the comparison of outcomes suggest about that bet — and what might it leave out?
- 3 "The opportunity to create wealth in the US is exceptional by world standards." What evidence in this primer supports that claim? What would you want to know to test it?
- 4 This primer looks only at the United States compared to other nations. What questions about the American economy can this outward comparison *not* answer — the ones a look inside the country would be needed for?

One country, a fraction of the world's people, a quarter of its wealth.

*The United States built the largest economy in human history
by betting on private creation — and the opportunity that bet produced
is rarer, and larger, than almost anywhere else on Earth.*

1. US nominal GDP $\approx$ \$30.3–30.6 trillion in 2025, the world's largest, $\sim$ 25% of global output; China $\sim$ \$19.4T, Germany $\sim$ \$5.0T, Japan $\sim$ \$4.3T, India $\sim$ \$4.1T (IMF World Economic Outlook 2025–26; World Bank; Statista; Visual Capitalist). 2. California $\approx$ \$4.3 trillion, ranking $\sim$ 4th globally; 19 US states fall within the world's 50 largest economies (US Bureau of Economic Analysis; IMF, 2025). 3. The US has led for $\sim$ 100 years and is projected to remain largest into the 2030s (IMF; Visual Capitalist, 2025). Figures are illustrative and shift year to year; the structural pattern is the durable point.

